

ENTREPRENEURSHIP IMPORTANT TOPICS

PYQ ANALYSIS (SERIES RQPS, FGHE, WXY4Z, SET 4)

1. Enterprise Growth Strategies (High Weightage)

This is a critical section appearing frequently in long-answer questions (5 marks) and case studies.

- **Mergers and Acquisitions (M&A):** You must understand the different types and reasons for M&A.
 - **Types of Mergers:** Horizontal, Vertical, Market Extension, and Product Extension mergers.
 - **Types of Acquisitions:** Friendly, Hostile, Reverse, and Back-flip acquisitions.
 - **Synergy:** Explain "Synergy" as a primary reason for mergers and acquisitions.
- **Franchising:**
 - Understand the **Franchise Agreement** and its main ingredients.
 - Know the advantages to the franchisor (expansion risk, cost advantages).
 - Understand the relationship between franchisor and franchisee.

2. Resource Mobilization & Finance (Numerical & Theory)

This section contains both theory questions and essential **numerical calculations**.

- **Venture Capital (VC) & Angel Investors:**
 - Distinguish between **Venture Capital** and **Angel Investors**.
 - Know the **stages of VC financing** (Seed Capital, Start-up, Second-round).
 - Features of Angel Investors.
- **Numerical Calculations (Practice these formulas):**
 - **Break-Even Point (BEP):** Calculate BEP in units and rupees, often involving a sales mix.
 - **Economic Order Quantity (EOQ):** Calculate annual demand and EOQ.
 - **Return on Equity (ROE) & Return on Investment (ROI).**

- **Working Capital:** Calculate Gross and Net Working Capital.
- **Capital Markets:**
 - Methods of **floating new issues** in the primary market: Public Issue, Rights Issue, Private Placement, and Offer to Employees.

3. Enterprise Marketing

- **Pricing Strategies:** You must be able to identify these from case studies.
 - **Penetration Pricing** vs. **Skimming Pricing**.
 - **Cost-plus pricing** and **Variable pricing** methods.
- **Promotion Strategy:**
 - Difference between **Above-the-Line (ATL)** and **Below-the-Line (BTL)** promotion strategies.
 - Rules for advertising (Aim, Target, Media, Competitors).
- **Channels of Distribution:** Factors affecting the choice of channels (market related, product related).
- **Branding:** Components of a brand (Brand Name, Brand Mark, Trade Mark, Tagline).

4. Entrepreneurial Planning

- **The Business Plan:**
 - Identify components of a business plan from a case study: **Marketing Plan, Production Plan, Operational Plan, Organizational Plan, and Manpower Plan**.
 - Formats of a business plan (e.g., Elevator Pitch, Pitch Deck with oral narrative).
- **Operational Plan Elements:** Scheduling, Follow-up, and Inspection.

5. Sensing Opportunities & Environment

- **Trend Spotting:** Understand the four ways to spot trends: **Read, Talk, Watch, and Think**.

- **Idea Fields:** Identify the source of ideas (Natural resources, Market-driven, Service-related, Creative efforts, etc.).
- **PESTEL Model:** Identify macro-environmental factors (Political, Economic, Social, Technological, Ecological, Legal) from case studies.
- **Innovation & Creativity:** Elements of the innovation process and the creative process.

6. Forms of Business Organization

- **Partnership:** Features like "Implied Authority" and "Mutual Agency".
- **Corporate Forms:** Features of a Company (Separate legal entity, Limited liability).

Summary Recommendation:

To score well, prioritize practicing the **Break-Even Point (BEP)** and **EOQ calculations**, as these are guaranteed numericals. For theory, focus heavily on **Mergers/Acquisitions, Marketing Strategies (Pricing/Promotion)**, and the specific **Stages of Venture Capital**.